

YOUR LEGACY **OR YOUR LEGEND?**

A CEO's guide to getting the most
out of new technologies



All CEOs are tech CEOs

The technology investment decisions companies make will determine—more than ever—their financial success.

Most companies are failing to maximize the full value of their investments. The gulf in financial performance between competitors is growing.

With significant revenue growth at stake, CEOs must take a leadership position to close the Innovation Achievement Gap*.

*Innovation Achievement Gap: the difference between potential and realized value from technology investments.

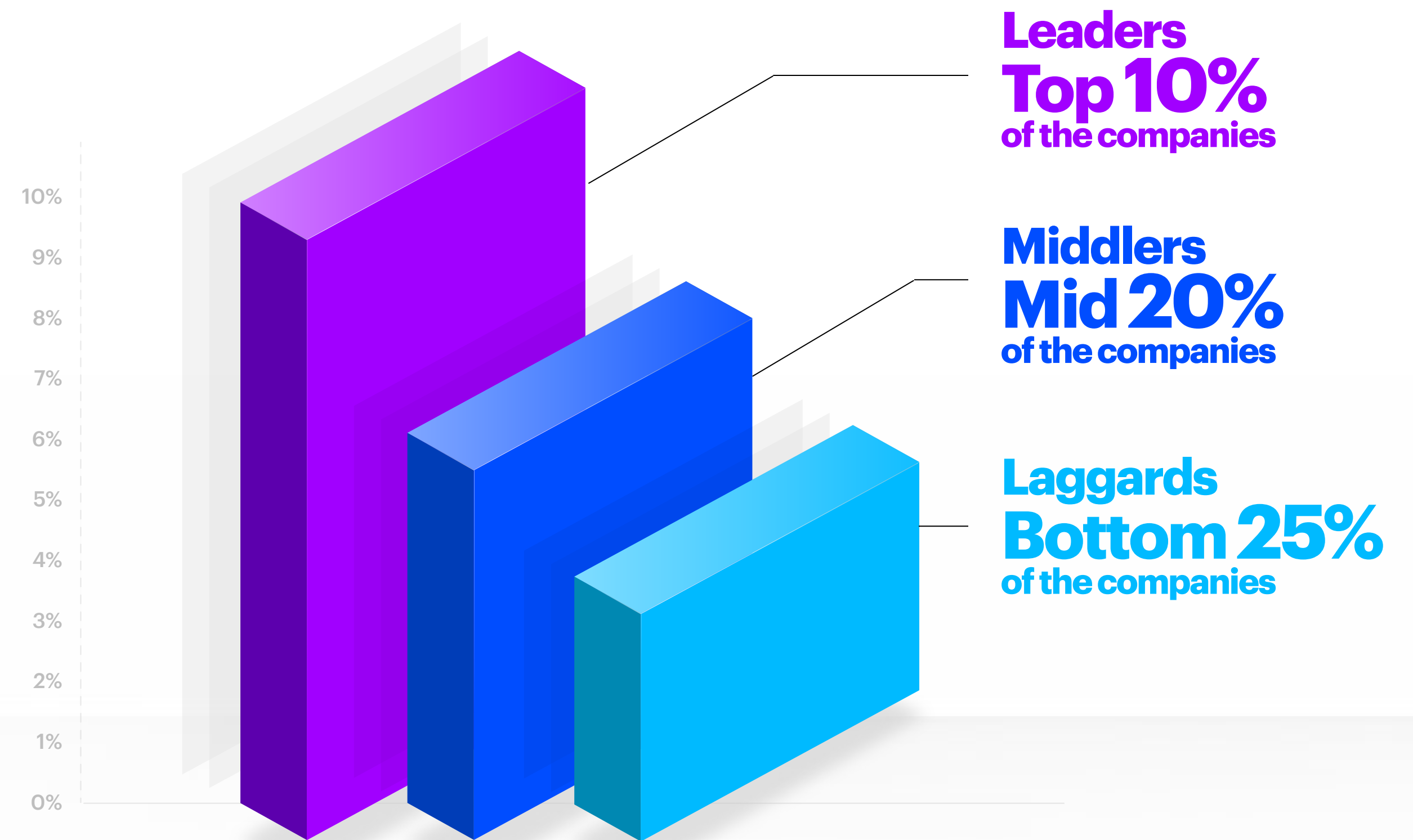
We guide CEOs on the technology strategies that will improve return on investment

Accenture has conducted the **largest enterprise systems survey** to date:

8356
Companies

885
CEOs

We classified companies into 'Leaders', who are building Future Systems and the 'Middlers' and 'Laggards,' who are investing in—but not scaling—innovation.



The Innovation Achievement Gap starts with a gulf between ambition and reality...

78% of CEOs surveyed believe they are effective at creating a **safe space for experimenting** with new technologies.

80% of CEOs say they have the **right systems in place** to innovate at scale...

...**but only 8%** of those CEOs can be classed as Leaders.

The rest are struggling to close an ever-widening **Innovation Achievement Gap**.



...and continues with a fragmented tech strategy

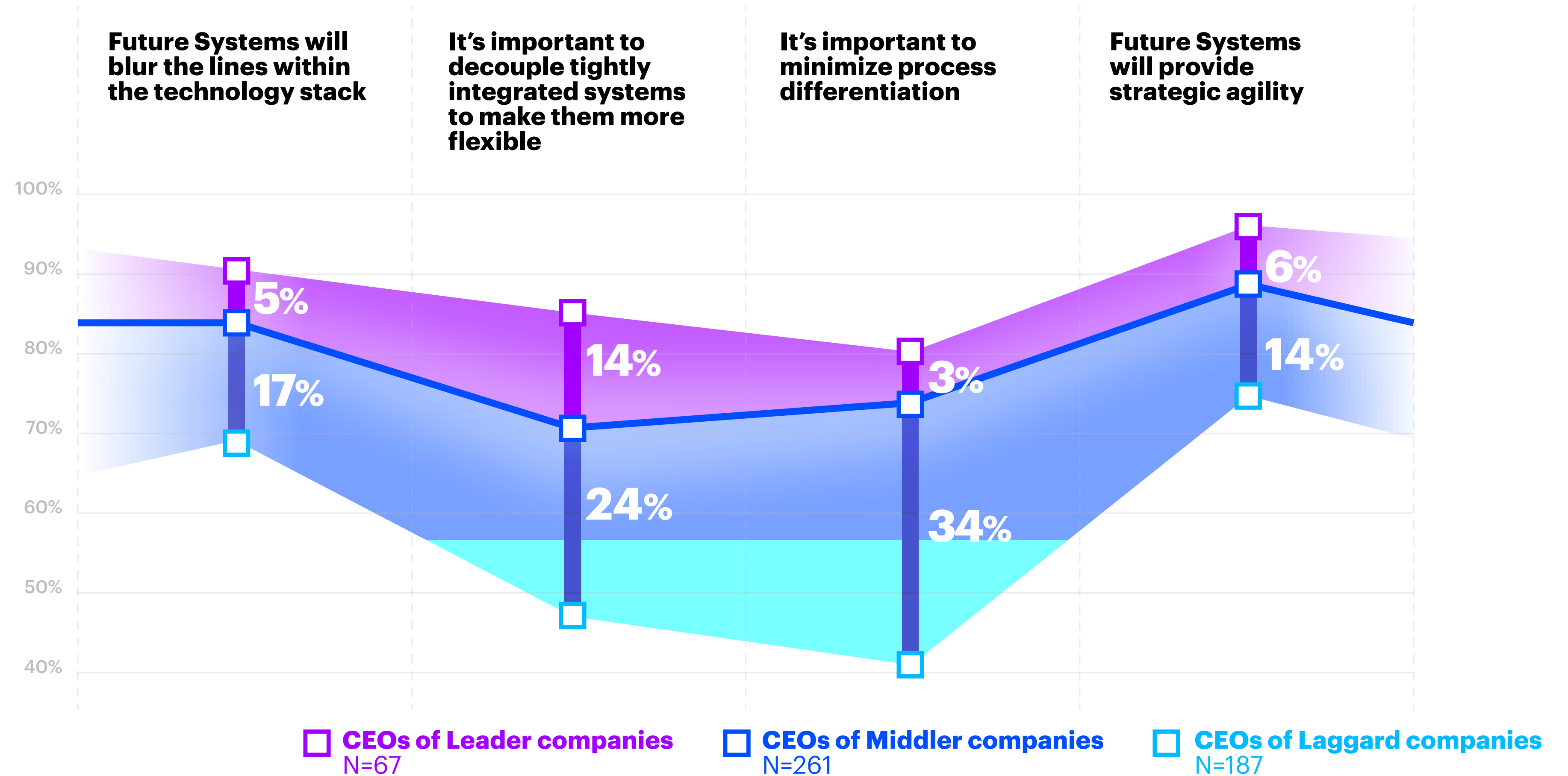
Most organizations put business unit, product or geography heads in charge of tech investments.

The isolated pockets of customized systems rarely work with each other.

When technology is increasingly dependent on platforms, ecosystems and large varieties of data, this prevents the scaling of innovations across the enterprise.

Leading by a long shot

Leader CEOs:
The Strongest
Advocates of
Future Systems

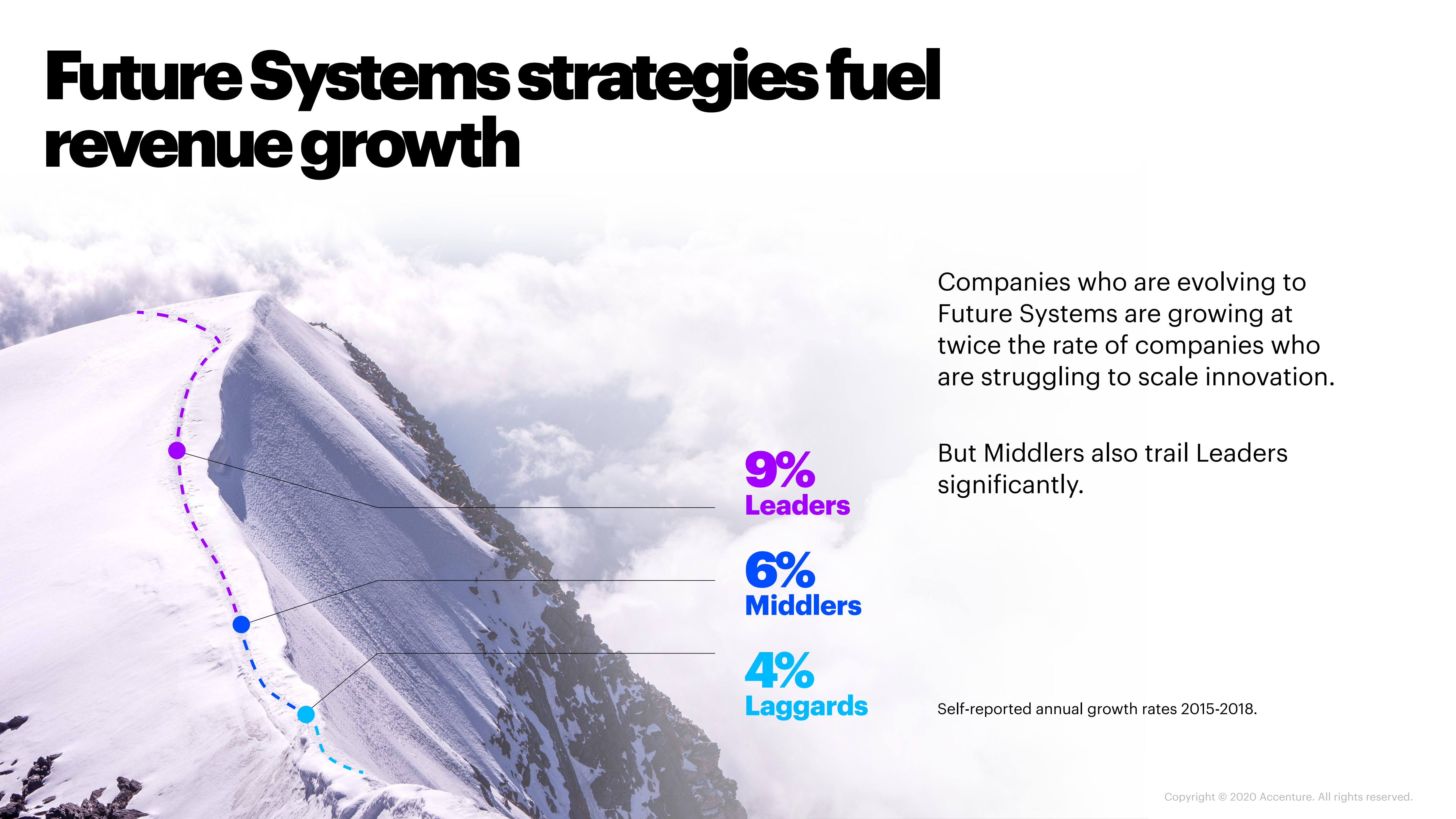


Future Systems strategies fuel revenue growth

Companies who are evolving to Future Systems are growing at twice the rate of companies who are struggling to scale innovation.

But Middlers also trail Leaders significantly.

Self-reported annual growth rates 2015-2018.



9%
Leaders

6%
Middlers

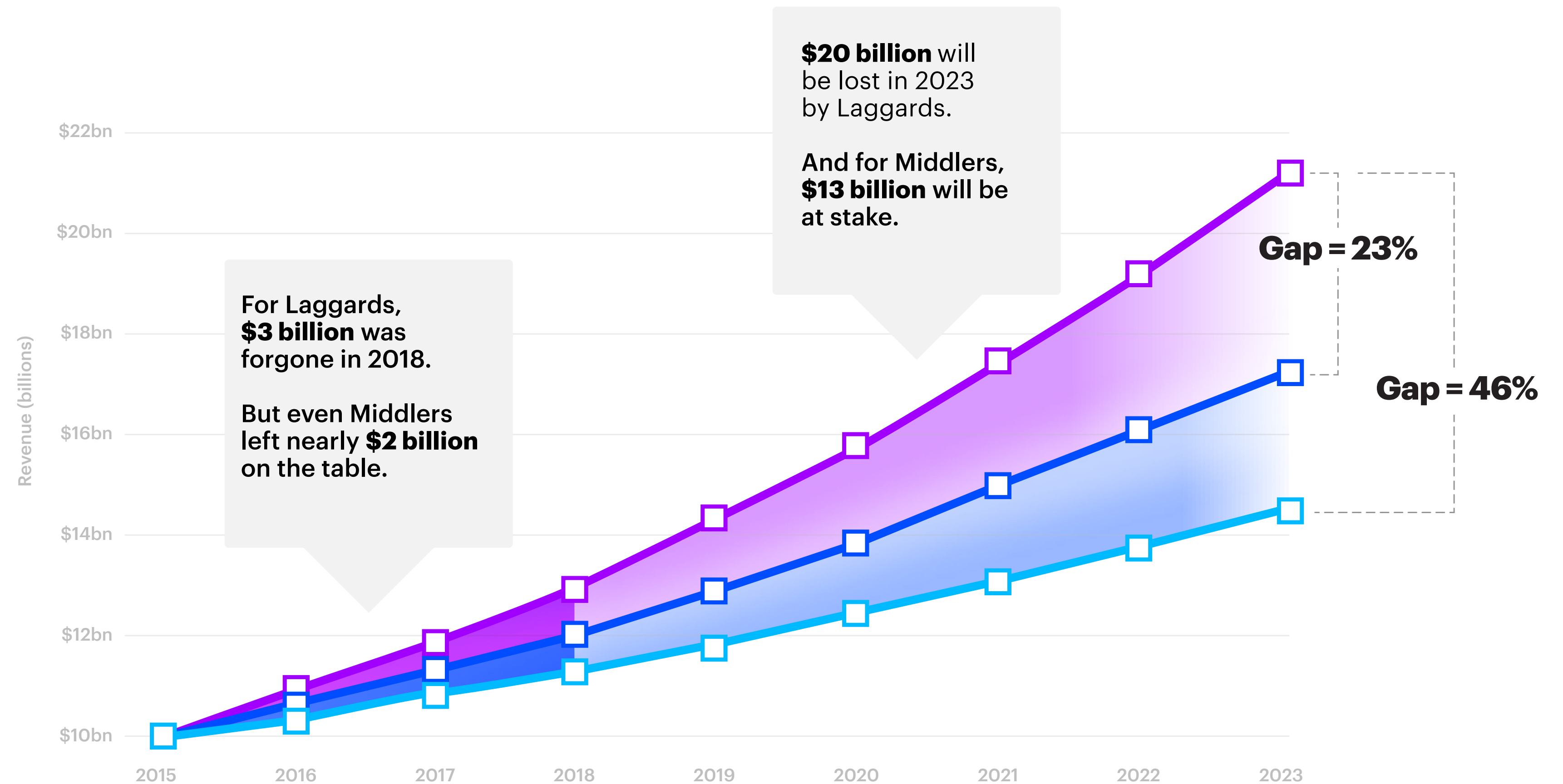
4%
Laggards

It's cold comfort for Middlers

Leaders grow 2x faster than Laggards. But also outpace Middlers by 50%.

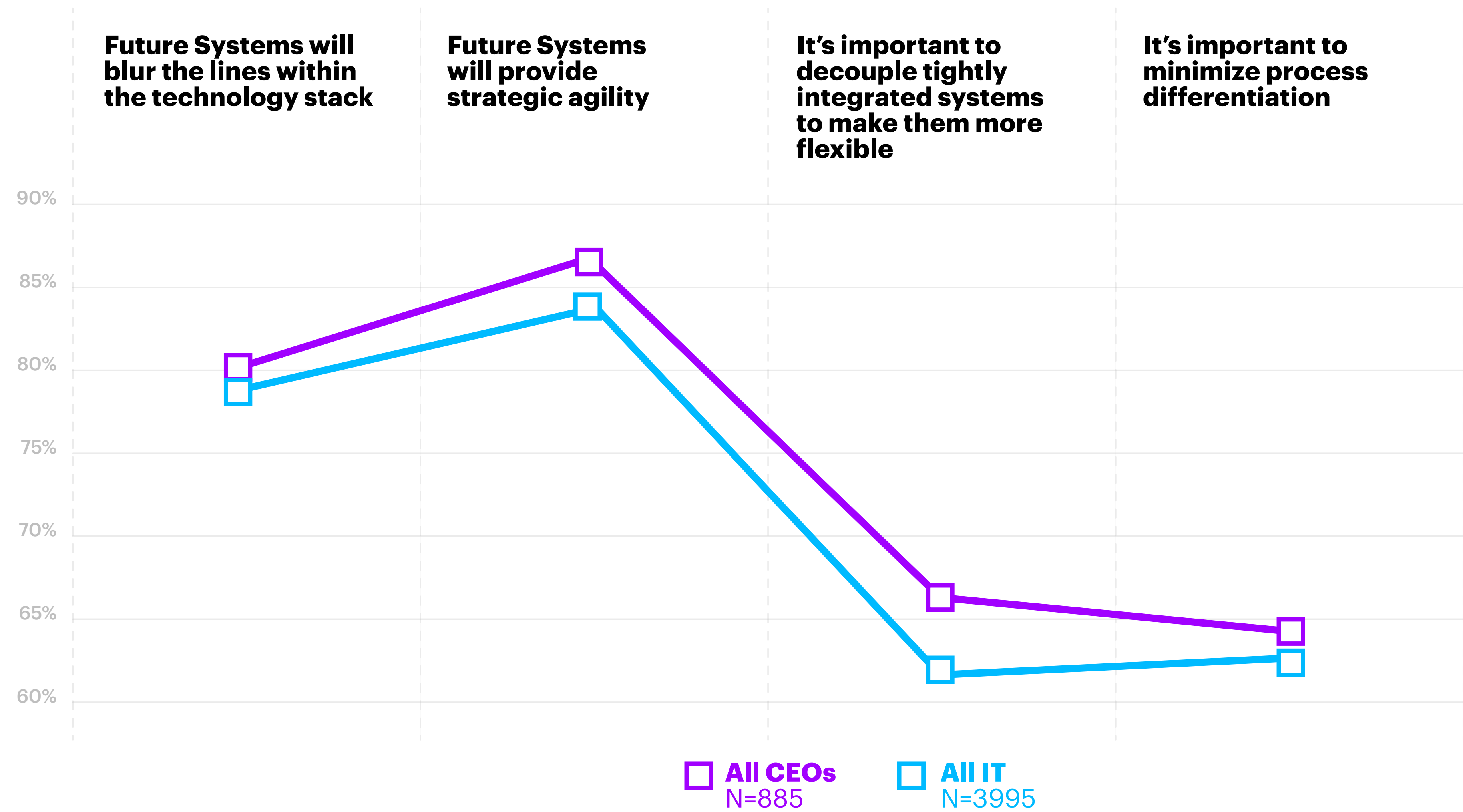
□ Leaders □ Middlers □ Laggards

Leaders' expected growth is represented by the purple line, Middlers the dark blue line and Laggards the pale blue line (self-reported). This illustrative model shows the opportunity cost of not evolving to Future Systems using a company with \$10 billion in revenue in 2015.



CEOs and CIOs see eye to eye...

...but more work must be done to address the Innovation Achievement Gap.



How to take the right **PATHS**

Leader CEOs consistently take five key steps to close their innovation achievement gap and rise above the rest.

P

Progress:

Apply new technologies to evolve across multiple business processes to improve efficiencies and performance

A

Adaptation:

Adapt IT investments to suit changing business needs

T

Timing of Tech Adoption:

Properly sequence and roadmap adoption of new technologies

H

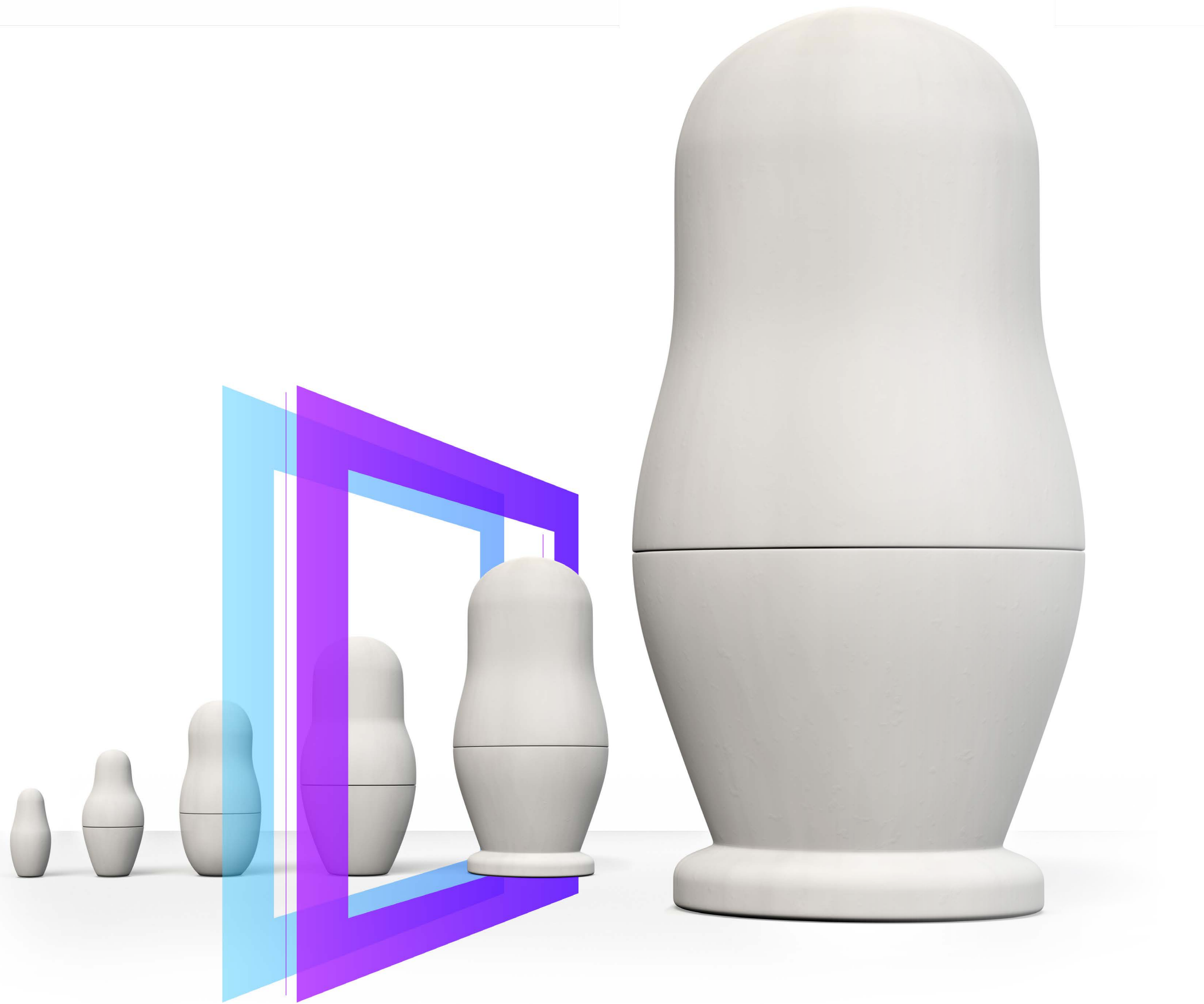
Human + Machine Workforce:

Activate and enable the workforce to use and be augmented by technology

S

Strategy:

Actively align business strategy and IT strategy to better seize opportunities



The CEO's paths **P**rogress

How extensively/broadly should we apply new technologies to evolve business processes across the enterprise?

The tempting options

Route 1

Transform low-hanging business processes, e.g. customer-facing processes.

Route 2

Build innovation centers / hubs to transform multiple processes.

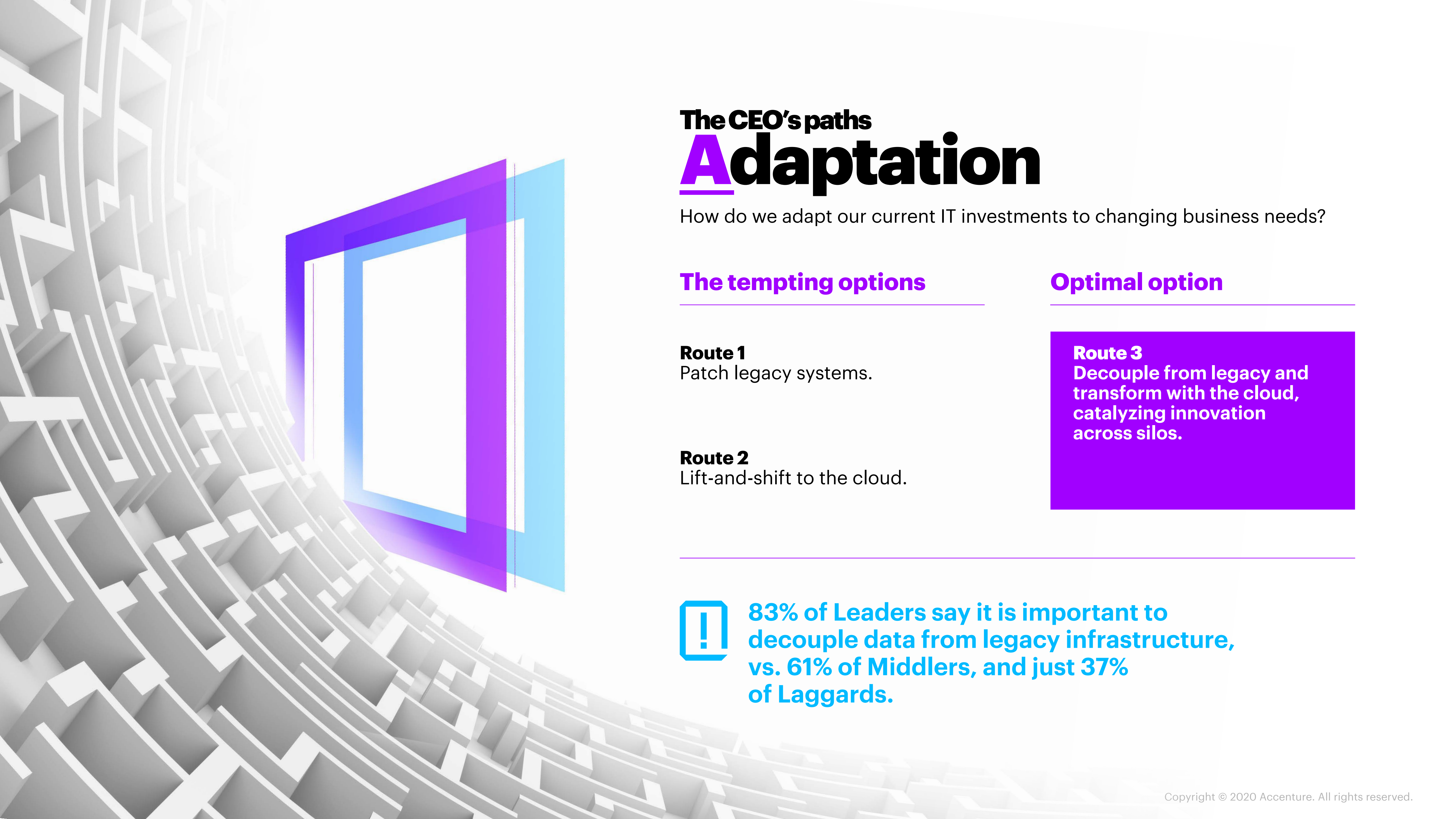
Optimal option

Route 3

Reimagine business processes for the future, and target multiple processes with the same technologies.



Leaders transform more than 2 processes for every one that Middlers transform, and 3 times as many as Laggards.



The CEO's paths **A**daptation

How do we adapt our current IT investments to changing business needs?

The tempting options

Route 1

Patch legacy systems.

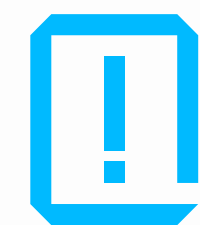
Route 2

Lift-and-shift to the cloud.

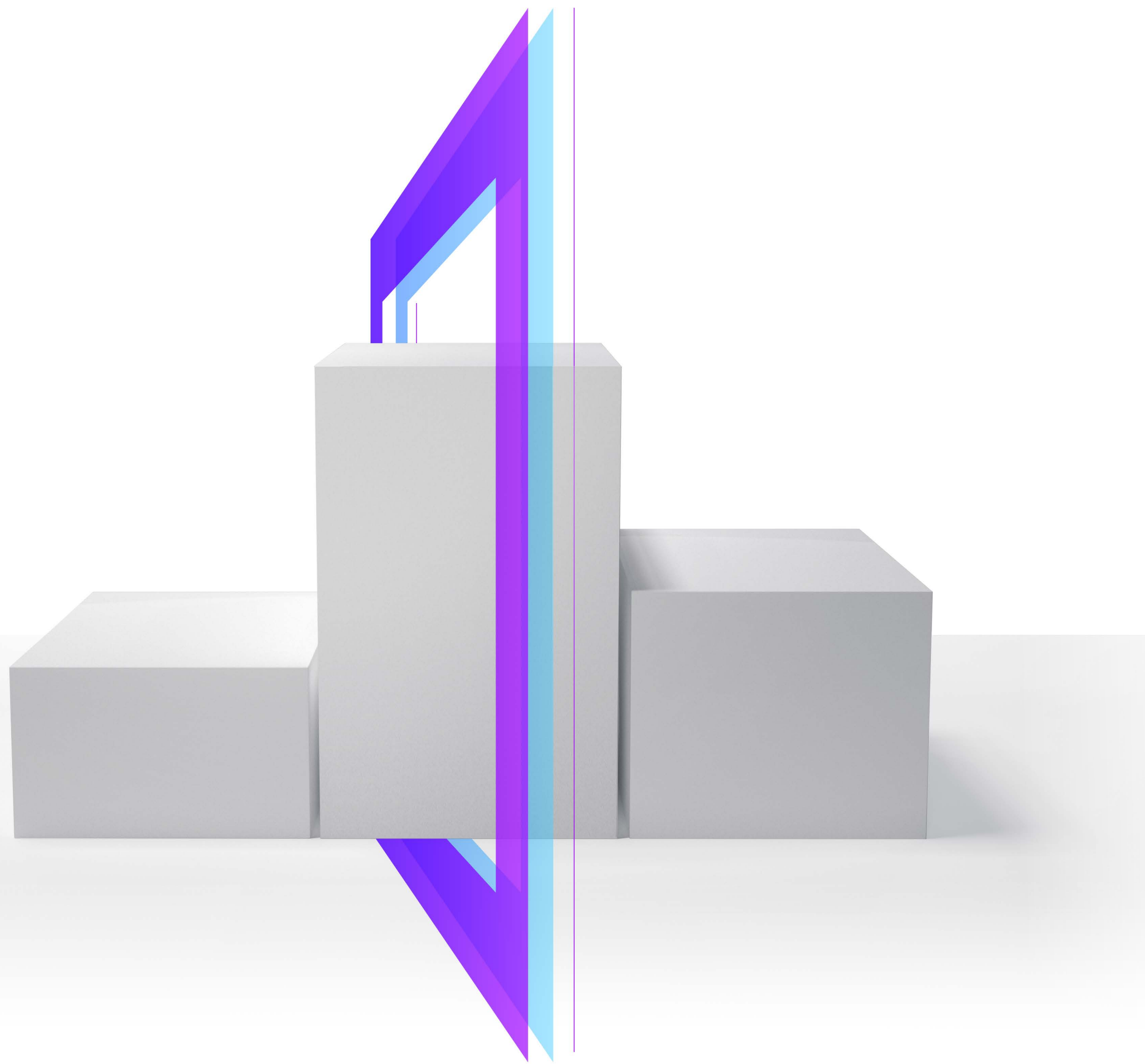
Optimal option

Route 3

Decouple from legacy and transform with the cloud, catalyzing innovation across silos.



83% of Leaders say it is important to decouple data from legacy infrastructure, vs. 61% of Middlers, and just 37% of Laggards.



The CEO's paths **T**iming

How do we properly sequence and map out adoption of new technologies?

The tempting options

Route 1

Experiment with new tech on the leading-edge.

Route 2

Double down on industry-specific, customized tech.

Optimal option

Route 3

Identify fundamental technologies and prioritize their adoption in terms of timing and processes targeted.



20% of leaders adopt Software-as-a-service, vs. 9% of Middlers and 8% of Laggards.



The CEO's paths

Human + Machine

How do we activate and enable the workforce to use and be augmented by technology?

The tempting options

Route 1

Rely on traditional, periodic training about new tech (classroom, online, standardized).

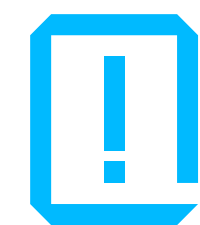
Route 2

Individualize training, allowing employees to learn at their own pace.

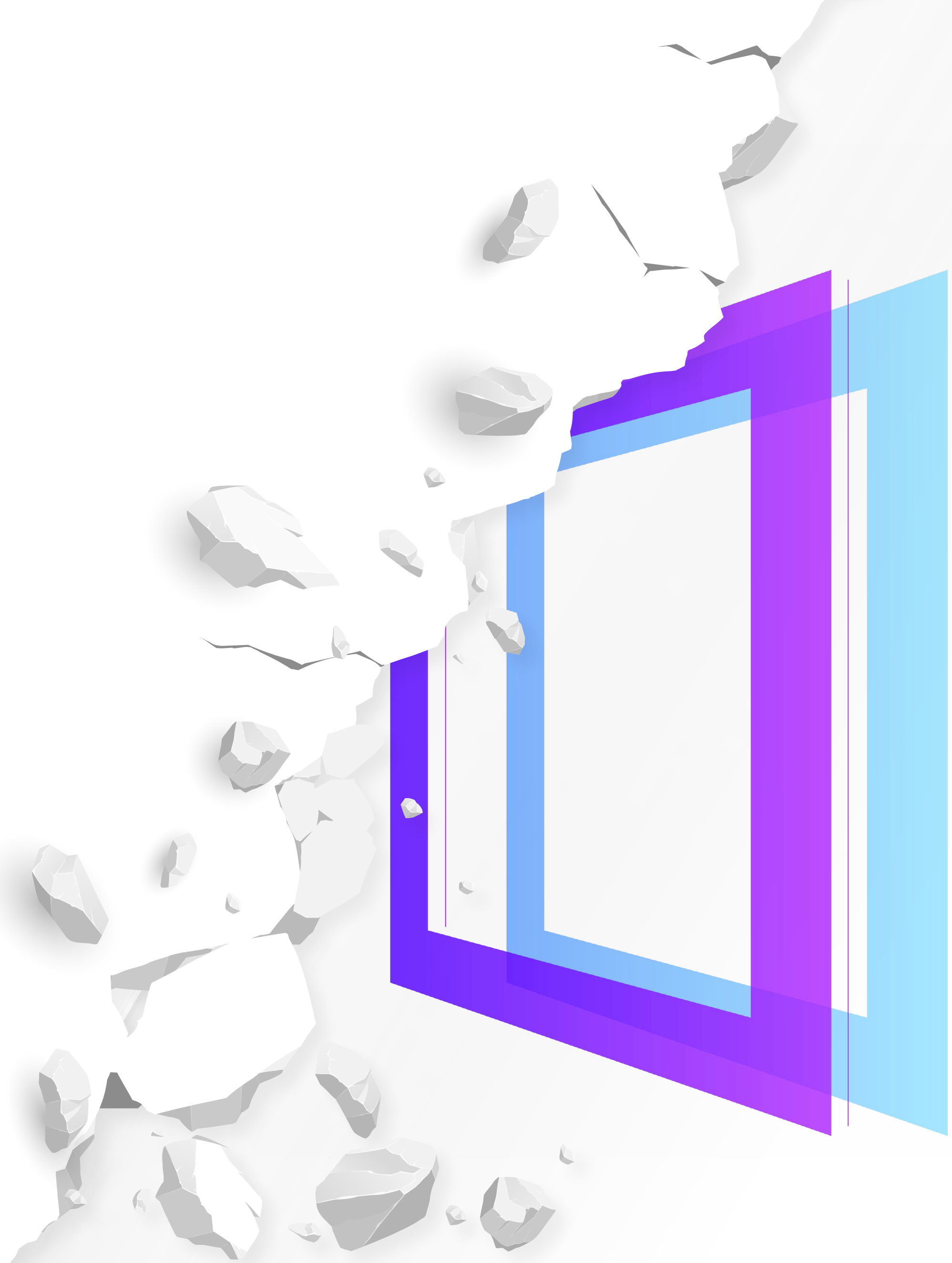
Optimal option

Route 3

Deliver tech-augmented training for working with technologies of the future (AI, XR and experiential, personalized).



86% of Leaders use intelligent technologies such as AI, Analytics, and Machine Learning to predict and match worker training with required job skills, vs. 60% of Middlers and 35% of Laggards.



The CEO's paths Strategy

How can we intentionally manage the intersection of business strategy and technology strategy to better seize opportunities?

The tempting options

Route 1

Allow business units to rapidly, and independently, address their pain points.

Route 2

Devise a tech strategy to explore ambitious business goals like new business models or adjacent markets.

Optimal option

Route 3

Build boundaryless, adaptable and radically human IT systems that explicitly enable scale and strategic agility.



94% of Leaders regularly track value of new technologies vs. 76% of Middlers, and 47% of Laggards.

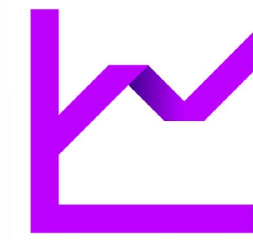
Three essential steps along the PATHS

It's time to match intention with action with the PATHS framework.



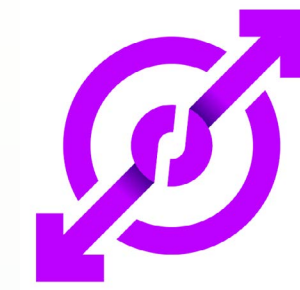
Assess your company's current position

on technology investments; measure their returns and opportunity costs.



Reconsider your sunk investments

that can be consolidated to drive efficiencies; set KPIs and track them in concert with your IT lead.



Design a new Future Systems strategy

based on enterprise-wide needs and able to adapt to change; make the long-term financial case.

Leaders enjoy a considerable head start, and they will not be standing still. Their systems are designed to embrace tech innovations so that they can create and scale them across the enterprise.

Yours should too.

Start your **PATHS** to Future Systems

www.accenture.com/futuresystems